

As and when funding revives, investors and the tax authorities can better assess how the levy is hurting businesses



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AMIT MAHESHWARI
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tending the angel tax regime. “But what I think happened was that it hurt the start-up ecosystem and, thereafter, the tax department tried to create various exceptions and carve-outs. But I don’t think they have been able to fully address all the situations connected to the start-up ecosystem, which is getting hurt by the angel taxation rules that have also created some degree of complexity for their business.”

Jha says, “Start-ups still remain concerned that the income tax authorities are on a witch hunt and sending scrutiny notices arbitrarily over valuations, to companies”.

However, Pai points out that income tax notices usually go out during the fiscal’s last quarter. “It is unfortunate that this issue hasn’t been settled despite the Form 2 exemption and stellar work done by DPIIT and Startup India to mitigate this,” he says, adding it is important for tax officers to undergo training to understand why investors would fund loss-making start-ups, which has often been cited as a red flag for being picked up by the system. Incidentally, CBDT’s National Academy of Direct Taxes in Nagpur has been holding training sessions for tax officials on emerging issues in new-age sectors such as start-ups.

Amit Maheshwari, Tax Partner at AKM Global, a tax and consulting firm, warns that there will be a manifold rise in litigations around angel tax as tax officials can always challenge the assumptions of the valuation. “The eligibility threshold for the exemption is very low, as a result of which larger start-ups will not be able to get the benefit,” he says, adding that jurisdictions such as Mauritius and Singapore have also been excluded from the list of exempt nations although many investments flow in from there.

THE ART OF VALUATIONS

Chaudhri points out that valuation is an art and what two people perceive as the value of a business may be quite different. Pai agrees and says that the core issue of angel tax remains unsolved—the practice of the tax officers to compare the projections in the valuation report with the actual performance of the company, with deviations being a reason to reject the valuation report. “The 10 per cent variation given in the notification is not sufficient. Investors are actively looking at how to navigate this,” he says.

Pai adds that since many start-ups do not have a long operating history or profitability, it is often difficult to apply a standard valuation method to these companies. “Even the list of five valuation methods, which only apply to non-residents and not residents, suffer from this issue,” he contends.

But, Jha says, the government has tried to balance its concerns with those of start-ups. “Some of it stems from the government’s past experience regarding highly valued firms suddenly disappearing or being heavily devalued,” she notes.

The sector is hoping for a review if not a roll-back of the tax regime. “Given the mandatory dematerialisation of private companies and start-ups, there is hope that such a provision need not exist as all holdings and their ultimate beneficial ownership can be traced through the depository system,” says Pai.

As and when funding revives for the sector, it could help provide a better assessment to investors and the tax department of how the levy is hurting businesses. For now, further tweaking of the regime may not be on the cards and companies may not have any other option but to work on new strategies to comply with the tax requirements. **BT**

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